

STONECO LTD STNE

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by

crestone

			2026	2027
Price:	10.11	EPS	1.93	2.32
Shares Out. (in M):	231	P/E	5.2	4.4
Market Cap (in \$M):	2,331	P/FCF	0	0
Net Debt (in \$M):	3,281	EBIT	1,460	1,500
TEV (in \$M):	4,027	TEV/EBIT	2.8	2.7

Description

StoneCo is a Brazilian merchant-finance platform serving ~4.8 million small and medium-sized businesses with payments, banking, and credit products. The company has a differentiated distribution and service network, generates adjusted ROEs above 20%, has recently sold off a non-core business, and has returned substantial capital to shareholders through dividends and share repurchases.

The stock trades at roughly 5x the low end of 2026 adjusted EPS guidance, which I think implies far worse prospects than the company actually has.

Perhaps because I have no prior baggage with StoneCo, its apparent cheapness has proven irresistible to me. After learning about the history of the company, I won't be surprised if others (see lightspot's Dec 2021 writeup and comments) have been scarred by the company and will have trouble getting involved again. However, the pitch today isn't as demanding as it was in 2021, and the company has simplified its operations and goals, so maybe this time will be different.

This valuation does reflect real issues: card volumes are declining, Stone is losing some payments market share (though it still is one of the leading providers in Brazil), credit losses are elevated (though green shoots are appearing), and Brazil's high interest rates are pressuring funding costs. However, this isn't the full picture. While the price appears to imply a severe decline, low growth actually seems the more likely outcome, and the company seems to be operating in a disciplined, shareholder-friendly way.

I believe there's at least 60% upside to fair value.

My base case assumes:

- Total payment volume continues growing in the low- to mid-single digits, with card volumes stabilizing.
- Deposits and credit continue growing, but credit growth is more disciplined than in the past.
- USD/BRL is stable.
- Steady execution results in a re-rating to just 7.5x earnings.

These assumptions produce a target of \$17+ per share, or 60-70% upside. A 7.5x multiple is mathematically justified by the ROE, growth, and cost of equity, and it also remains below most global payment companies and is within the range earned by Brazilian financial institutions.

Background

Stone operates almost exclusively in Brazil and focuses on a TAM of 15 million micro, small and medium-sized businesses.

Its offering has three principal components:

- Payments: Card and Pix acceptance, point-of-sale equipment, receivables prepayment and online payment processing.
- Banking: Merchant accounts, deposits, transfers, payment cards and cash-management products.
- Credit: Working-capital loans, credit cards and government-backed lending products.

Stone has 4.8 million active clients, more than 650 local Stone hubs, over 500 strategic partners and coverage across all 5,570 Brazilian cities. Its service and logistics model remains differentiated, particularly for brick-and-mortar merchants outside the largest cities.

Stone estimates its addressable revenue pool, net of funding costs and credit losses, at more than R\$100 billion:

- R\$32 billion in payments.
- R\$33 billion in banking.
- Approximately R\$42 billion in credit.

Stone estimates its current market penetration at approximately 10.3% of Brazilian card acquiring volume, more than 3% of its addressable digital-banking market, and less than 1% of MSMB credit.

The company's strategy has changed substantially since Stone was pitched on VIC in 2021. That write-up described a 20% compounder with a major software moat and potential to regain a premium fintech multiple. Unfortunately, that didn't play out. Linx never became an integrated SMB software platform, credit execution remained inconsistent, Pix altered the payments mix, and Stone lost market share.

Stone has since sold Linx, distributed the proceeds this year, simplified the business, and repositioned itself as "the bank for entrepreneurs." Pagar.me, its

online payment operation, has been integrated into the main Stone platform. Management is now focused on combining physical and online payments with banking and credit in one merchant relationship.

What I'm buying into here is not a delayed version of the 2021 thesis. Instead, it's a deep value, low-growth, steady execution thesis that simply requires the company not to completely screw up.

Business Quality and Management

Stone has a good, but not amazing, business.

The core advantage is its merchant distribution and service infrastructure. Local hubs allow Stone to acquire, install, and support clients more effectively than a purely digital competitor. Payments then provide the transaction data and daily merchant relationship from which Stone can cross-sell banking and credit.

At the end of 2025, 41% of Stone's clients used at least three financial products, and these heavy users generated more than twice the revenue of less engaged clients. Half of new clients added in the fourth quarter entered with at least three solutions, versus 17% in early 2023, suggesting that the integrated relationship has real economic value.

The moat is not to be overstated. The company has lost several points of market share over the last few years. Merchant switching costs are modest, banks can compete aggressively, and Stone has limited exposure to rapidly growing marketplaces. Pix also reduces the scarcity value of payment acceptance. Stone's durability increasingly depends on becoming the SMB's primary financial account rather than merely providing its payment terminal.

Profitability is strong though. Adjusted ROE was 21.6% in Q2 and 22.3% for the first half. Some of the Q2 increase resulted from the Linx dividend reducing equity, but Stone still operates comfortably above its cost of equity, which Goldman estimates at just under 16%.

Management's historical operating record is mixed, as you can gather from reading the comments in the earlier VIC pitch. The original credit product failed, Linx did not deliver the expected strategic benefits, and current credit losses show that underwriting is not yet proven though they do seem to be improving. Management also assumed a substantially lower year-end SELIC rate when establishing 2026 guidance, which is partly why the company has indicated it's now targeting the lower end of guidance.

On the positive side, the current team has shown greater discipline:

- It sold Linx rather than continuing to defend an unsuccessful strategy.
- It simplified merchant bundles and revised sales incentives after identifying elevated churn.
- It reduced large credit-ticket limits and shifted originations toward government-backed programs.
- It has controlled operating expenses despite investment in banking and credit.
- It has consistently returned excess capital, including the extraordinary dividend after the Linx sale, and significant buybacks over the last twelve months.

As management said in the Q1 26 call, "Whenever value-accretive opportunities are not immediately available, excess capital gets returned to shareholders."

The most encouraging current operating indicator is in credit. Management reported that automated-loan first-payment defaults are declining, with the June cohort producing "the best result during the last 12 months." This has not yet appeared in reported NPLs, which remain lagging indicators, but it provides a way to test the credit-normalization thesis. In addition, first payment defaults have been declining since February.

Target Valuation

In the Q4 2025 earnings call, the company suggested organic net income growth for 2026 would be in the 3-9% range, but this assumed lower SELIC rates than what has actually occurred, leading the company to say they will likely come in toward the lower end of that range.

Guidance for 2027 implies an acceleration in adjusted gross-profit growth from 4-11% in 2026 to 9-14% in 2027. The acceleration is expected to come from credit maturation, improved retention, and lower funding costs, although the 2027 interest-rate assumptions may now be optimistic.

Synthesizing their 2026 and 2027 guidance, and applying a healthy dose of conservatism, it seems fair to assume this company is a low-to-mid single-digit organic profit grower, which can be boosted to high-single or low-double-digit earnings growth with buybacks.

This is not a company that is going away. If a lot of things go wrong, it should be able to at least maintain profits, and it seems much more likely to be able to grow them.

Hence, a 5x earnings multiple seems far too bearish.

Based on a normalized ROE of 20%, nominal organic earnings growth of 7%, and a cost of equity of ~16%, you can mathematically justify an earnings multiple of ~7.5x.

And while I don't believe in using the circularity of comparable multiples to justify an intrinsic valuation, a 7.5x isn't outside the range of other Brazilian financial companies, and is well below many other global financial comps, so you don't need to assume the name has to do something heroic to earn a re-rating.

Using 7.5x on consensus 2027 earnings indicates a fair value of ~\$17.25, or 70% upside from current values.

Risks

Credit losses continue rising:

Cost of risk was 21.5% in Q2, over-90-day NPLs reached 8.6%, and coverage declined to 204%. This is the most important risk. Stone has already experienced one major credit failure, although the current problem is conventional underwriting and borrower risk rather than the 2021 collateral-registry failure.

Management attributes current late-stage delinquencies to weak late-2025 and early-2026 automated vintages which they say they have already corrected for in their underwriting. Newer automated cohorts are performing better, and Stone is reducing dedicated-desk ticket sizes and adding lower-risk government-backed loans. These claims need to be confirmed over several quarters.

Payments market-share losses persist:

Card TPV declined 3.1% in Q2 even as total TPV grew 4.3%, driven by 44% Pix growth. Stone is underexposed to e-commerce and faces aggressive competition from banks and marketplace ecosystems.

The counterpoint is that Stone does not need to maximize payments take rate if payments anchor a profitable banking and credit relationship. Deposits grew 22% year over year, and total TPV growth improved sequentially. Nevertheless, sustained card declines would weaken the merchant-acquisition engine.

SELIC remains higher for longer:

Stone originally assumed approximately 12.5% year-end SELIC; management now expects closer to 14%. Each 100-basis-point increase has an estimated R\$200–250 million annual pretax impact.

My case does not require aggressive rate cuts. Lower rates would be upside, while continued high rates could pressure funding costs and merchant credit quality.

Currency depreciation reduces USD returns:

Stone earns in reais but trades in dollars. A weaker real would reduce the dollar value of earnings and distributions. While the long term trend has been real depreciation, the Brazilian currency has actually gained against the dollar recently.

I'm not trying to add a macro element to my thesis, so my target assumes stable rates, but I believe the low entry multiple provides some protection. Clearly however, a severe Brazilian fiscal deterioration would still produce material downside.

Management misses guidance:

This seems pretty likely. First-half adjusted EPS was R\$4.58, meaning Stone needs approximately R\$6.22 in the second half to reach the low end of guidance. Management is explicitly targeting the bottom of the range.

The valuation's margin of safety comes from the starting multiple. At approximately 5x guided earnings, the market already assumes weak growth and elevated risk. Stone does not need to achieve its historical targets for the stock to work, although a severe credit loss or structural earnings decline would overwhelm that protection.

Bottom line

StoneCo has some hair on it, but overall, I think the valuation prices in far worse prospects than the company actually has, and provides a margin of safety should more than one of the above risks play out.

With recent strategic changes, I think the company is in a good place to steadily execute, and with even only very modest growth, it should demonstrate that it's worth much more than the current multiple implies.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Delivery on the low end of 2026 adjusted EPS guidance and affirmation of 2027 guidance.
- Continued improvement in first-payment defaults across newer credit cohorts.
- Stabilization or renewed growth in card TPV.
- Reduced churn within the core Stone SMB brand.
- Continued accretive share repurchases.
- A gradual decline in SELIC without significant deterioration in the Brazilian economy.

- Stable or appreciating BRL, increasing the dollar value of earnings and distributions.

Messages

No messages